

THE TRUE COST OF CLEAN HAIR

Body Care (Shampoo) — Palm Oil & Deforestation Case Study

Standard body care relies on unsustainably harvested palm oil driving deforestation and habitat destruction in Southeast Asia, and exploitative shea butter sourcing from West African smallholders.

FREE TRADE (TNC)

\$5.00

per bottle

FAIR TRADE CERTIFIED

\$12.00

per bottle

PRICE PREMIUM

+140%

+\$7.00 ethical premium per bottle

- ▶ Palm Oil Habitat Damage
- ▶ Chemical Auditing Gaps
- ▶ Chemical Auditing Gaps

THE CHOICE ARCHITECTURE PLAYBOOK

Three behavioral mechanisms that will describe how our products will be deployed.



Anchoring

Placing the product next to an expensive or luxury item to make it feel affordable by comparison.

DEPLOYMENT EXAMPLE (What we'll do):

If we placed the **\$12.00** ethical shampoo on the shelf right next to the expensive **\$28.00** luxury salon brand. When we place it beside a luxury brand, customers see them side by side, and \$12 suddenly looks cheap.

01



Ethical Priming

Point-of-purchase displays highlighting worker conditions to trigger moral decision-making at the moment of choice.

DEPLOYMENT EXAMPLE

Our packaging will feature the story and photograph on how the **West African women** harvest **shea butter**. We will promote the hardworks of the West African women so if the customers see this and realize that it will help the workers get a fair pay, they might feel better about spending more money.

02



Social Proof

Showing that others choose sustainable creates herd behavior and reduces perceived risk.

DEPLOYMENT EXAMPLE

We can have texts saying that "**Over 50,000 shoppers chose and switched to ethical body care products**". By including this, we can make the customer feel safer about our product and we can make them feel better that they're gonna purchase our product.

03

FAIR TRADE VALUE PROPOSITION

Three concrete advantages that justify the 140% ethical price premium



Women's shea butter cooperative, Northern Ghana



No Forced or Child Labor

Strict agricultural inspections ban modern slavery. Unannounced third-party farm audits verify school attendance and safe working conditions.



Living Wage & Fair Payment

Prices cover basic food, housing, and healthcare. A guaranteed baseline above volatile market prices ensures economic stability.



Environmental Sustainability

Mandating resource conservation and chemical bans. Zero-deforestation palm oil sourcing protects orangutan habitats in Indonesia and Malaysia.

EVERY BOTTLE FUNDS DIGNITY, NOT DEFORESTATION

DEMAND SHIFT SIMULATION

How choice architecture shifts consumer willingness to pay

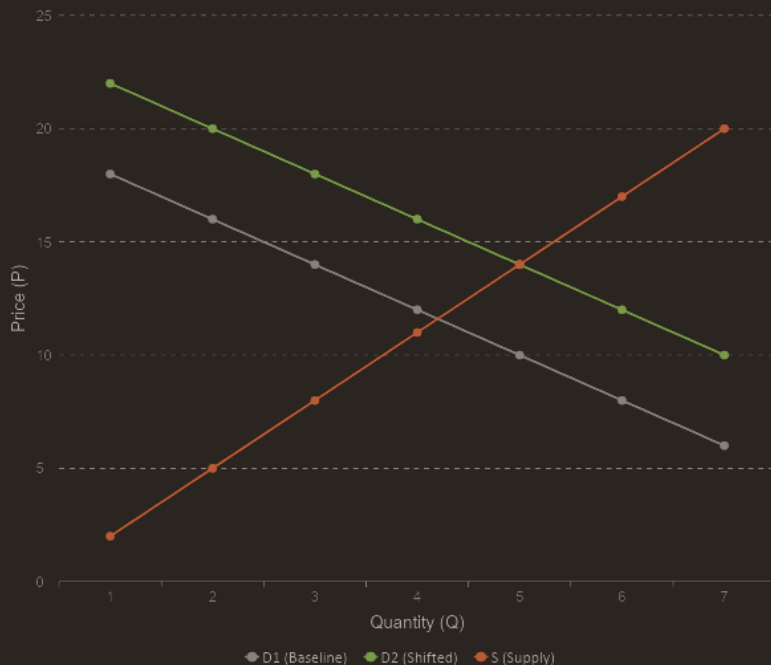
THE ECONOMIC LOGIC

The Problem: At \$12, quantity demanded would collapse to Q_{low} without intervention.

The Solution: Anchoring, ethical priming, and social proof raise willingness to pay.

The Result: Demand shifts from D_1 to D_2 . The cooperative maintains Q_{fair} at P_{fair} .

Key Insight: Preferences are malleable. Reframing the premium as moral investment shifts demand — proving free trade's "lowest price" ignores hidden social costs.



KEY DATA POINTS

Free Trade Price

$$P_{\text{free}} = \$5.00$$

Fair Trade Price

$$P_{\text{fair}} = \$12.00$$

Sales Volume Maintained

$$Q_{\text{fair}} \approx Q_{\text{free}}$$

Shift Mechanisms

■ Anchoring (\$28 ref)

■ Ethical Priming

■ Social Proof (50k+)